

besides arms and ammunition, atomic energy, and minerals, electricity, railways, ships, aircrafts, coal, iron and steel, etc. If such industries are in private hands, they could be nationalised. The government or its agency, corporation, or company, would own, operate, control, and manage all operations related to production or disposal of the produce. Now, the circle is moving to the other side; instead of nationalisation of private enterprises, privatisation of state enterprises is being contemplated and carried out. As of now the move is towards public private partnership, if not outright privatisation, divest mentor joint ownership and operation.

6.3.2 Regulation and Control

There may be another set of industries essential for developing infrastructure or essential consumer goods, the government could think of regulating or controlling output and/or price. Once, the government compulsorily procured a certain portion of food grains at lower prices and thereafter decided to offer support prices in case market prices fell below that level. Further, once upon a time it was thought textile mills could compete with handloom and khadi which needed to be encouraged for employment and, therefore, their output could be controlled. License to produce was one of the conditions one had to fulfil before starting operations. Many metals, cement, antibiotics, fertilizers, machine tools, sugar, road transport, etc. could be put in that category. There was an Act, called Essential Commodities Act passed in 1955, which permitted the government to control production, supply and distribution of certain commodities like drugs, foodstuffs, fertilizers, etc., under certain circumstances. There are several other regulations put in place to assure, for example, quality of goods and services. Several agencies have now been put in place to certify quality of products by marking as ISI, Hallmark, Agmark, Ecomark, BSIV, etc.

6.3.3 Promotion and Support

Many industries may need financial support or promotion— say, in export. Government creates development finance institutions such as NABARD, SIDBI, NHB or EXIM Bank to support industries and trade. It also floats boards and councils to promote the interests of specific industries.

Needless to say, government generally support supply side of market through S&T/R&D activities, development of general infrastructure – including clusters, estates, market yards and other common facilities. It also supports technical education, training for skills, and extension centres.

6.3.4 Protection

Certain industries may need protection, besides support, from competition with easily substitutable products. There were hundreds of items which were reserved for production by small scale industries (micro and small enterprises). Under WTO obligations, slowly, protection by reservation has been withdrawn. However, there is still Purchase Preference Policy and Price Preference Policy. Under the former, government departments are supposed to give preference for products from small scale industries and under the latter, they could pay up to 15 per cent higher price than the lowest quotation from industry of any scale.

- 1) List the various instruments of specific market interventions.

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- 2) List the institutions and modes of State intervention in market.

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- 3) Explain the meaning of regulation in the context of intervention in market.

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6.4 STATE INTERVENTION IN MARKET FOR EFFICIENCY

State is supposed to protect life, liberty, and property of the individuals while market is about voluntary exchange of properties— though with quite extended meaning. It is obvious that State emerged after institution of private property had already come into existence. However, according to Marxist literature, State and market are said to be in hand-in-glove.

State is often pressed into service to intervene in the market should its legitimate functioning result in socially undesirable consequences. State is also asked to intervene in the market if the latter is found to be inadequate or incomplete in certain respects. Such a situation is called market failure as it results in higher prices and lower quantities compared to efficient operation of market.

In this section, the rationale of market intervention of State is afforded in terms of production and consumption as well as price, quantity, and quality. The purpose is to improve efficiency or reducing deadweight loss to the society. Let it be clear that these interventions are in white markets which follow all laws of the land. It is possible that some interventions may induce parties to go into black or conduct illegal operations.

6.4.1 Rationale for State Intervention in Market

Neoclassicals provide for clear-cut price formation in market under the condition $MR = MC$ following certain simple assumption. They also highlight instances where markets are not functioning efficiently or may not be complete or may not exist altogether. They called that market failure or, breakdown of competition. Two major sources are (1) existence of externalities with production or consumption of private goods and (2) existence of market power or monopoly power or imperfect competition. Another source of market failure is (3) existence of imperfect and incomplete information. Purists may reduce everything into violation of assumptions of perfect competition (an idealised world) while practical people recognise existence of the extreme case of externalities as (4) existence of public good, as a separate reason. Further, from a society's perspective there are goods which merit consumption and there are goods whose consumption ought to be discouraged. For market, on their own may not be able to enforce this distinction. So, (5) existence of merit and demerit goods is another reason for state intervention.

In the case of perfect competition, marginal revenue (MR) of the producer, often called marginal benefit (MB), is equivalent to marginal social benefit (MSB) as there are no spillovers of benefit. So, $MR=MB=MSB$. Likewise, marginal cost (MC) is equivalent to marginal social cost (MSC) as no cost is externalised. So, $MC=MSC$. Usual equilibrium condition of $MR=MC$ (or $MB=MC$) translates into $MSB=MSC$ and thus efficient voluntary exchange ensures efficient social outcome. There is neither excess production nor shortage. When there is divergence between the two—private and social, this parity breaks down. Market will fail to produce socially efficient output or outcome. In such a situation, an external intervention in the market is required. For long, it has been suggested in neoclassical tradition that the intervention should come from the State. This is the rationale for State intervention. We briefly discuss these five instances of market failure to produce efficient social outcome, leading to State intervention.

6.4.2 Public Goods

There are certain goods which have certain peculiar characteristics such as non-rival consumption and non-excludability. Rival consumption means if I consume more, then less is available to you. If there is a shirt and if I wear it, it is not available to you. If I take away a portion of bread, less is available to you. This is true of any private good. But take the case of viewing a serial on TV, my viewing does not impact your viewing it. Both of us enjoy together with no rivalry. So, is the case with municipality produced street light. Excludability means one can be excluded from consumption if one does not fulfil say certain conditions to enjoy it. In a market, one who is not paying for the good or paying less than the prevailing price, can be excluded. One who is not major may be denied purchase of a cigarette pack or a bottle of liquor even though he is willing to pay. One may not be enrolled for a Ph.D. if he has not done a Master's degree. However, one may not be denied the consumption of streetlight or security by defence forces even when one is not contributing to production of these services. There is no way anybody can be excluded from consuming such goods. Either the prevalent technology does not permit it or cost of excluding is too high. It is often argued that marginal cost of supplying public goods like TV signals is